FREE FINANCING REPORT

Restaurant Financing Report

Why This Sector Remains Financeable Despite Cost Pressure, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com

PAGE 1

Why Sponsors Pursue Restaurant Financing

Restaurants remain deeply woven into American consumer spending, and 2026 is shaping up as a year of continued growth despite real cost pressure. That combination — an industry still projected to add tens of billions in sales, a dedicated SBA financing pathway built specifically for owner-operators, and durable long-term demand — is exactly why restaurant financing remains a viable, well-supported category for the right operator and the right location.

- **The industry keeps growing in dollar terms.** Total U.S. restaurant and foodservice sales are projected to reach $1.55 trillion in 2026, with inflation-adjusted consumer spending expected to rise 1.3% for the year.
- **Employment growth signals continued expansion.** The industry is expected to add more than 100,000 jobs in 2026, reaching 15.8 million total positions, with nearly 75% of operators planning to hire.
- **A financing pathway built specifically for this sector.** SBA 504 and 7(a) programs offer up to 90% loan-to-value with a combined program cap now raised to $10 million, giving owner-operators access to leverage that generic commercial lenders rarely extend to restaurant real estate.
- **Consumer appetite remains latent, not gone.** More than 70% of consumers say they would dine out more frequently if they had more disposable income, and Gen Z and millennial demand is driving strong growth in off-premises and delivery formats.
- **SBA fixed-rate pricing offers long-term stability.** The SBA 504 CDC portion currently prices at a fixed 5.50% to 6.50% for 20 to 25 years — among the most favorable long-term fixed pricing available to small business owners.

That said, this remains a challenging operating environment. Food costs are running more than 35% above pre-pandemic levels, and only 42% of operators reported profitability in 2025. Lenders scrutinize sales history, operator experience, and cash-flow cushion closely — well-documented, experienced operators in strong locations continue to finance most easily.

PAGE 2

2026 Market Outlook for Restaurant Financing

Restaurants enter 2026 navigating a genuinely bifurcated environment: industry-wide sales keep climbing even as individual operators face some of the toughest cost pressure in years. The following figures outline where the market stands:

- Total restaurant and foodservice sales are projected to reach $1.55 trillion in 2026, with the National Restaurant Association forecasting 1.3% inflation-adjusted growth in consumer spending, driven primarily by higher-income consumers.

  Source: National Restaurant Association, 2026 State of the Restaurant Industry, February 2026

- Employment continues to expand: the industry is projected to add more than 100,000 jobs in 2026 to reach 15.8 million total positions, with a longer-term trajectory of 150,000 jobs annually through 2036, reaching 17.3 million.

  Source: National Restaurant Association, February 2026

- Cost pressure remains severe and broad-based: food costs sit more than 35% above pre-pandemic levels, and over 90% of full-service and 85% of limited-service operators have raised menu prices in response, with labor, insurance, energy, and swipe fees cited as significant challenges by over 90% of operators.

  Source: National Restaurant Association, February 2026

- Profitability remains genuinely difficult for many operators: only 42% reported their restaurant was profitable in 2025, and 60% reported softer customer traffic and deteriorated business conditions during the year.

  Source: National Restaurant Association, February 2026

- Consumer demand has not disappeared, but it is constrained: more than 70% of consumers say they would dine out more frequently with more disposable income, and Gen Z and millennial consumers are driving strong growth in off-premises and delivery formats even as overall traffic softens.

  Source: National Restaurant Association, February 2026

- SBA financing remains the primary path for owner-operator restaurant real estate: SBA 7(a) rates currently run 9.50% to 11.75% variable (WSJ Prime plus 2.25 to 4.25 points, with Prime at 6.75% as of March 2026), while the SBA 504 program offers fixed CDC pricing of 5.50% to 6.50% for 20 to 25 years under its standard 50/40/10 structure (bank first mortgage, CDC second lien, borrower equity), with combined program leverage up to 90% LTV, a 1.25x DSCR floor, and a combined SBA loan cap raised to $10 million effective July 2026.

  Source: PeerSense, SBA Loan Rates and Terms, 2026

Bottom line for 2026: This is an industry growing in aggregate dollars while individual operators absorb real cost pressure — food costs remain elevated, traffic has softened for many, and fewer than half of operators turned a profit in 2025. Financing remains genuinely accessible for experienced, well-documented operators through the SBA

PAGE 3

Critical Financing Metrics for Restaurant Properties

Lenders in this space underwrite the operating business as closely as the real estate. The following metrics most often determine whether a request moves forward:

1. **Historical Sales and Cash-Flow Trend**

   Trailing 2-3 years of sales and year-to-date performance. Given that 60% of operators reported softer traffic in 2025, current-year trend relative to prior years matters heavily.

2. **Operator Experience**

   Documented experience running a restaurant or food-service operation. Inexperienced or first-time operators face significantly more scrutiny.

3. **Location, Traffic, and Visibility**

   The strength and durability of the site's traffic pattern and visibility, and how it supports the specific concept.

4. **Food and Labor Cost Management**

   How the operation manages costs given food prices running well above pre-pandemic levels, and whether menu pricing adjustments have preserved margin.

   food costs >35% above pre-pandemic

5. **Concept Strength and Sustainability**

   Whether the concept has demonstrated staying power, particularly relevant given industry-wide profitability challenges. only 42% of operators profitable in 2025

6. **Debt Service Coverage Ratio (DSCR)**

   Net operating income measured against total annual debt service. 1.25x typical minimum

7. **Loan-to-Value**

   Leverage available through SBA and conventional channels.

   up to 90% LTV (SBA); 10%–15% min down

These metrics form the practical filter that separates restaurant financing requests that get funded from those that stall in underwriting.

PAGE 4

Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Business financial statements and tax returns (typically 2 to 3 years) are organized
- [ ] Year-to-date sales and operating performance are documented
- [ ] Details on concept, seating capacity, and facility condition are prepared
- [ ] Operator experience in restaurants or food service is clearly presented
- [ ] Lease information (if applicable) or owner-user occupancy details are ready
- [ ] Location and traffic/visibility information is gathered
- [ ] Existing debt schedule, entity documents, and organizational structure are current
- [ ] Personal financial statements and credit information for owners/guarantors are up to date

Common Reasons Restaurant Financing Requests Underperform or Get Declined

- Missing or incomplete sales history
- Weak or unverifiable operator experience
- Incomplete financial documentation
- Thin cash flow or aggressive future-sales projections
- Submitting to lenders unfamiliar with restaurant or food-service underwriting

Final Perspective

Restaurant financing in 2026 sits inside a genuinely mixed picture — industry-wide sales keep growing toward $1.55 trillion, but individual operators are absorbing real cost pressure, and fewer than half turned a profit in 2025. The operators who finance most easily are the ones who can document a clean sales trend and real industry experience, not just point to favorable industry-level statistics.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing sales history, weak operator documentation, and mismatched lenders are among the most common reasons otherwise solid restaurant financing requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

Learn More About the K2 Lender-Ready System →

Seven-Day Ready or Refund Guarantee

K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com